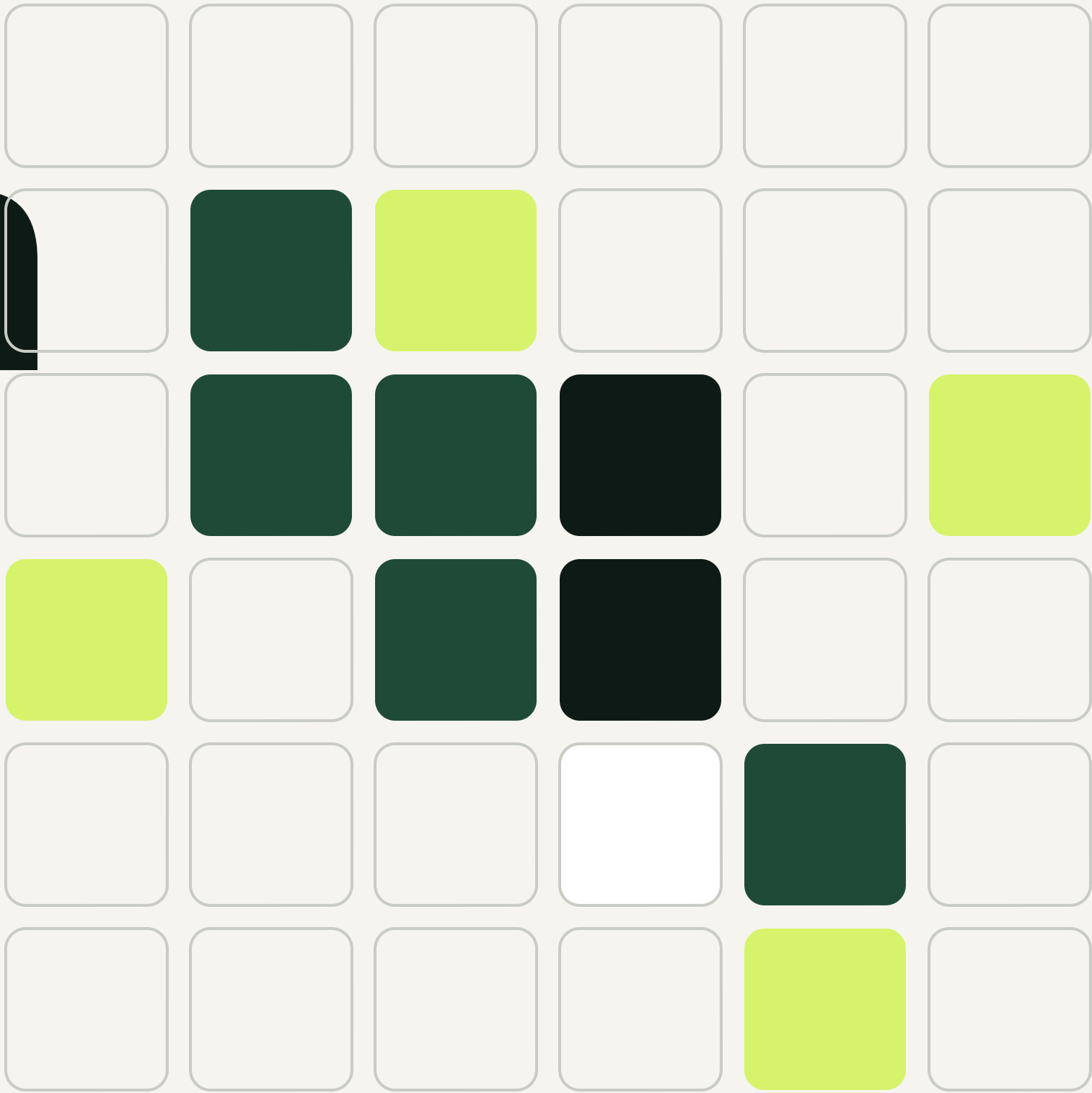


Common Block.

Neighborhood funds that share
appreciation with residents, on rails that
keep the value circulating locally

South Shore, Chicago · October 1, 2026 · Working draft — not an
offer or investment advice



Neighborhood blocks, recorded on-chain.

THE PROBLEM

Revitalization usually displaces the people who made it home

The opportunity is a suppressed basis.

Decades of disinvestment hold values far below their potential. When investment finally arrives, the gain usually goes to outside buyers, and long-time residents are priced out.

South Shore has lived this.

Out-of-state investors bid up its apartment buildings. Many buyers never reinvested; buildings slid into disrepair and foreclosure.

13 yrs

South Shore led Chicago in multifamily building sales, through 2023

<\$60K → ~\$73K

Per-unit price, Chicago's lower-cost buildings, 2019-2024

Flat

Rents and renter incomes, South Side

THE IDEA

Give residents a stake in the rise, and make it usable

1

Grant the stake, don't sell it

Every apartment in the fund's buildings and in buildings it helps finance carries a free stake, and a neighborhood lottery grants the rest: 1,500 per fund. Tokens make that possible at the scale of a neighborhood: many small stakes, no minimum, no lawyer.

2

Fund it from appreciation, not from investors

Residents share 35% of the gain above what the fund paid, plus half the upside a foundation gives up by taking the first loss for a capped 2%. Neighbors who invest still earn a market return.

3

Make it spendable on the block

The stake sits next to a spendable dollar balance and a debit card in one app. Residents can draw on it early, spend it at local merchants, and the merchants can lend it back.

The payoff: a community with a stake helps drive revitalization instead of resisting it, and the value it creates keeps circulating locally.

THE SOLUTION

Real buildings appreciate. A share of that gain is tokenized and given to residents, who can spend it on the block.

THE ASSET

\$28.5M

exit value on about \$19M of cost, base case

A \$10M neighborhood fund buys ~\$16.7M of South Shore apartment buildings (about 278 homes) over two years, puts ~\$2.5M into renovation, and backs ~\$21M more through advances to local owners. Held to year ten with ordinary bank debt, the portfolio is worth about \$28.5M at sale: roughly \$9M above what it cost.

THE TOKEN

35%

of appreciation, granted free to 1,500 households per fund

The Community Trust holds 35% of the appreciation and issues it as Wealth tokens on Solana: 1,500 identical stakes per fund, granted, not sold. Each stake is a claim on real buildings, credited quarterly as they appreciate and never clawed back. The rules live in the token itself: who can hold it, how much can be drawn against it, and that any deal on these rails carries the residents' share.

THE RAILS

1 app

two balances and a card

Next to the Wealth balance sits Spend: dollars, backed one for one, that move only within the neighborhood network. Harvest turns up to 60% of marked Wealth into Spend today, repaid only from the resident's own share at the sale. A debit card in the app taps at any register and uses Spend wherever the merchant accepts it. The value stays on the block.

WHAT MAKES IT DIFFERENT

Four ideas that make it work

ASSET-BACKED OWNERSHIP

35%

of appreciation, held
for residents

1,500 identical stakes
per fund: a claim on real
buildings, granted free
and never clawed back.

BLOCKCHAIN RAILS

On-chain

Solana Token-2022

Allowlists, the 60% Harvest
limit, where Spend can
move and the Trust's 35%
slice are code. Every mark
and advance is on a public
ledger.

THE PAYMENT APP

1 app

two balances and a
card

Move up to 60% of marked
Wealth into Spend in one tap.
The card taps at any register
and uses Spend where it's
accepted.

NEIGHBORHOOD DIVIDEND

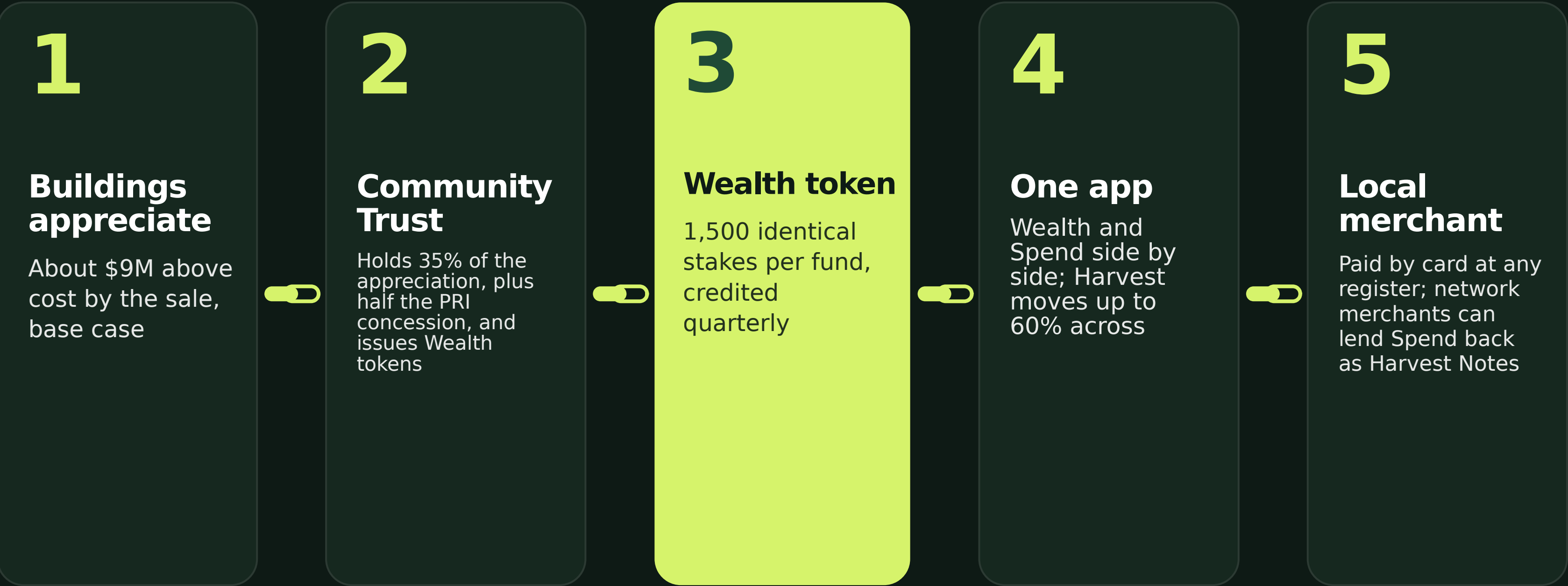
20%

of yearly cash flow, to
every stakeholder
household

Paid in Spend, so it lands
on the block. Suspended
if debt coverage or
reserves fall short.
CommonBlock adds a
share of its card revenue.

HOW THE TOKEN MOVES

From the block to the chain and back to the block



Public ledger. The community's claim, every mark and every advance are auditable by the neighborhood. The chain adds no value of its own; the buildings do.

WHO GETS WHAT

Every dollar of value has one owner, and residents never carry the downside

	Puts in	Receives	Puts at risk
Stakeholder residents (1,500 households)	Nothing. Living in a program building, or winning the lottery, qualifies.	35% of appreciation above cost, half the PRI concession and the neighborhood dividend: ~\$450 a year per stake on average. Harvest up to 60% early.	Nothing
Community investors (~1,465 neighbors)	\$5M, from \$500 to \$20,000 each, in closings	Rent, 65% of appreciation and half the PRI concession, net of fees: ~12.2% a year, ~2.9x; plus the dividend	Their capital, behind the PRI
Foundation PRI	\$5M, first loss	Principal back plus 2%, capped; recycled into the next fund	First loss, ~30% of value
Local merchants	Take the card, or join the network	Normal card payments in dollars; network merchants also take Spend in the app at 1.25% and can buy Harvest Notes	Nothing
Building owners (advances)	A building and 20% of its future gain	Improvement capital of ~5% of value; keep title, cash flow and 80% of the upside; stakes for their tenants	Nothing beyond the shared gain
CommonBlock	Sponsorship, platform, 1% GP commitment	Market fund fees, promote, card and merchant revenue; nothing from the resident pool	GP commitment, startup capital
Accredited investors	Deal-by-deal capital, only with the 35% slice minted in	Deal tokens on normal terms: 20% promote over an 8% pref	Their own capital

HOW A NEIGHBORHOOD FUND WORKS

One \$10M fund, ten years, one shared upside

1

Raise \$10M

\$5M from ~1,465 neighbors (\$500-\$20,000 each) + a \$5M PRI that takes first loss at a capped 2%, committed at the first close; neighbors invest in closings

2

Buy and improve

~\$16.7M of apartment and mixed-use buildings (~278 homes) over two years, with ordinary bank debt

3

Back local owners

\$1.0M of improvement advances reach ~\$21M more property; owners keep title and share 20% of the gain

4

Share the rise

35% of appreciation and half the PRI concession to 1,500 stakeholder households; 20% of cash flow to every stakeholder

Unit stakes for every apartment in fund and buy-in buildings; the rest by lottery. Construction-loan deals refinance at year 5; the fund sells at year 10

THE PILOT FUND AT A GLANCE

Base case: 3% rent growth, net of all fees

12.2%

a year for community investors (about 2.9x their money)

1,500 free stakes per fund:
every apartment in
program buildings, plus a
lottery

~\$450

a year, on average,
per free stake

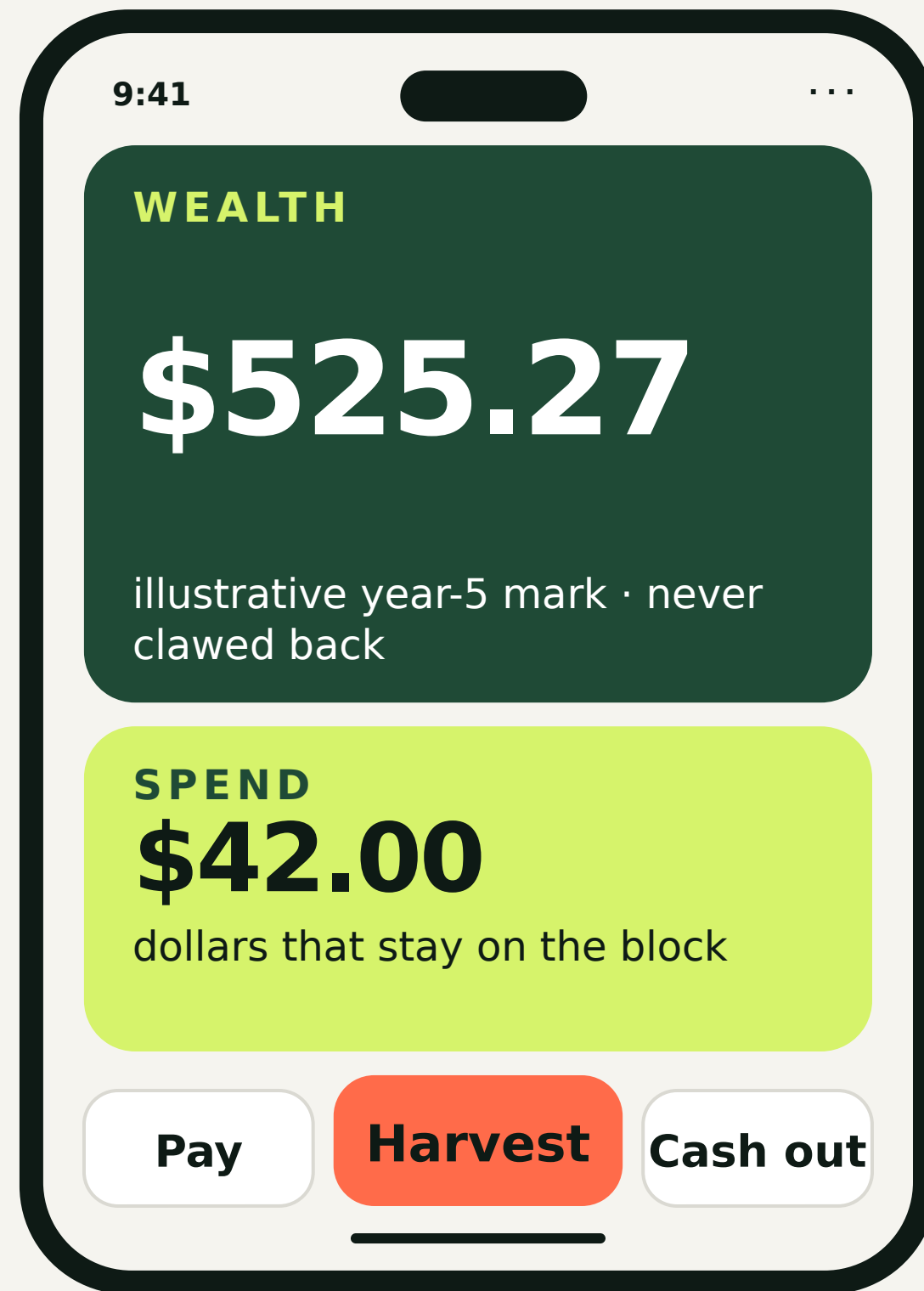
~30%

fall in value the PRI
absorbs before
neighbors lose capital

Half the upside the PRI's 2% cap frees goes to free-stake households; 20% of yearly cash flow is a neighborhood dividend.

THE APP: TWO BALANCES AND A CARD

An appreciating balance and a spendable one, side by side



Illustrative screen: year-5 mark per stake

1

See it grow

Wealth is credited every quarter on a mark residents can check. The dividend arrives in Spend.

2

Harvest in one tap

Move up to 60% of the marked value into Spend at 4.5%, or to a bank at 7%. Non-recourse; repaid from your own share at the sale.

3

Tap to pay anywhere

The card works at any register. At allowlisted local merchants it uses Spend first, up to the merchant's limit.

4

Learn by doing

Plain-language explanations at each step, prize entries for money lessons. A first wallet, a first appreciating asset.

The tax, securities and custody machinery stays under the hood. Regulated partners handle custody, identity checks and the card; CommonBlock builds the experience.

A CIRCULAR LOCAL ECONOMY

Value earned on the block is spent on the block and lent back

1

Buildings appreciate

35% of the gain is credited as Wealth; 20% of cash flow is paid as a dividend in Spend

2

Residents spend locally

Spend works only at local merchants on CommonBlock's list; the card carries everyday spending

3

Merchants keep it moving

Pay other network merchants in Spend, or redeem for dollars

4

Merchants and savers buy Harvest Notes

A 5% senior claim that funds the next neighbor's advance

5

The sale repays everyone

Advances and Notes are settled from the resident pool; savers keep the rest

BACK TO THE BLOCK

~\$16M

a year of card spending in one neighborhood, if 40% of stakeholders use the card

4.5% vs 7%

the rate gap that makes spending locally cheaper than cashing out

1 network

one Spend merchant network across every CommonBlock neighborhood

TWO WAYS IN

Catalytic capital in front, community capital behind it

FOR CATALYTIC FUNDERS

A recoverable PRI, not a grant

\$5M

first-loss match per new fund,
with \$5M from neighbors; \$4M
for later stages

2%

capped return; principal
recoverable and recyclable into
the next fund

50%

of the upside the cap frees goes to
households with free stakes; half to
investors

FOR COMMUNITY INVESTORS

**A market return with
philanthropy in front of you**

\$500

minimum, up to \$20,000 per
household

12.2%

a year, ~2.9x, after every fee and
the promote; plus the dividend

~30%

fall in value the PRI absorbs
before your capital is touched

Accredited investors can join deal by deal on normal terms (20% promote over an 8% pref), only where the residents' 35% is minted in. Not counted in the base case.

Losses hit philanthropy first; residents never lose capital



BRINGING IN EXISTING OWNERS

Improvement capital for owners, without buying their buildings

1

The advance

About 5% of appraised value, paid out against completed improvements.

2

The share

The fund receives 20% of appreciation above an appraised baseline. The owner keeps 80%.

3

The owner keeps

Title, cash flow and control of the building.

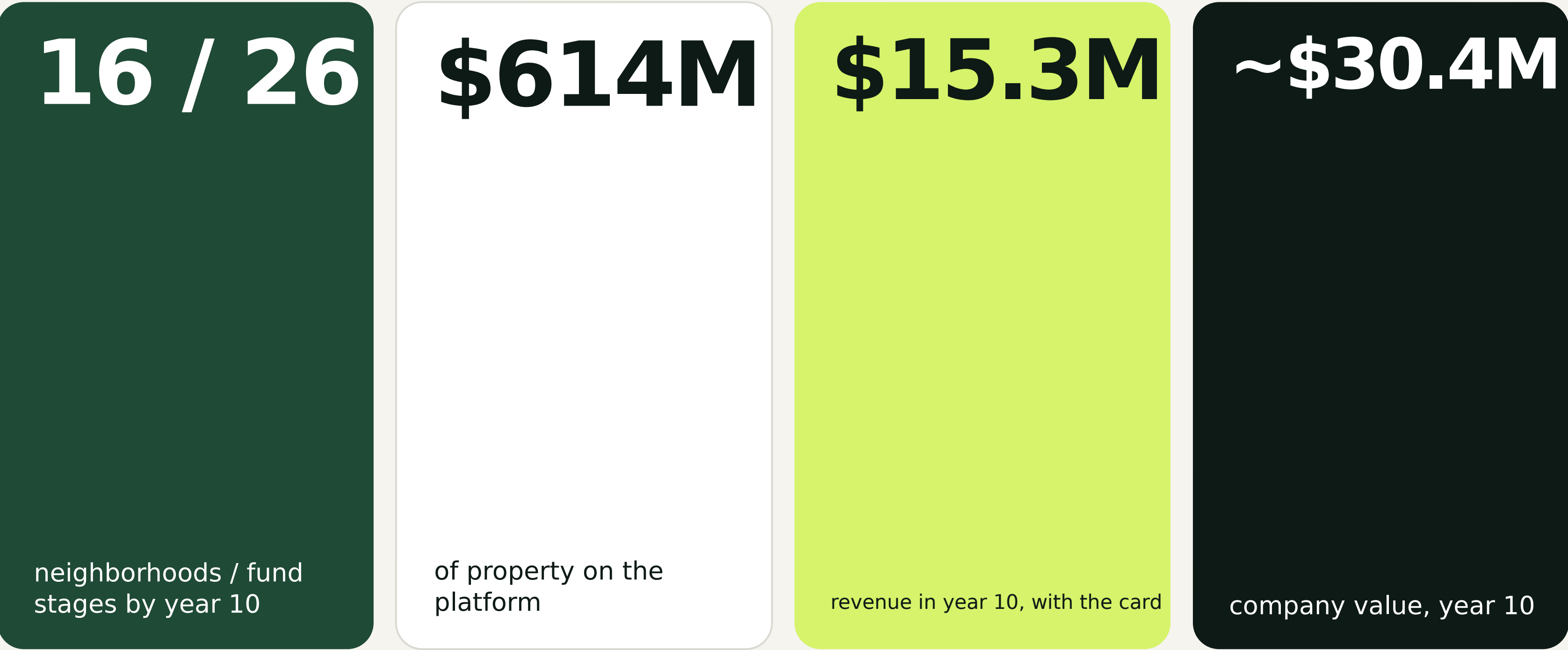
4

The reach

\$1.0M reaches ~\$21M of property; every apartment carries a free stake.

Heavy rehab on occupied buildings goes through advances, not debt, so debt service never forces rent increases. Loss (5%) and collection (90%) assumptions are placeholders.

One Chicago fund in \$10M stages, then new cities



New cities open their own funds in years 5, 7 and 9. Later stages carry 40% first-loss: \$108M needed by year 10, not \$130M. Value: fee earnings at 10x (1.25x software premium), property management at 8x; ~\$15.4M with no card revenue.

GETTING THE COMPANY TO SELF-SUFFICIENCY

\$2.3M of equity, raised in three milestone closes

Close 1: \$650K

At formation, from angels and neighbors through a Reg CF raise

Close 2: \$850K

At the pilot's first close: PRI committed, Reg A qualified

Close 3: \$800K

Year 3: a year of card data; second-stage first-loss committed

Why equity

Card adoption drives about half the value; equity investors share that risk

Peak need ~\$2.3M. Founder keeps ~68% fully diluted (10% option pool). If card use is low: ~\$3.2M, third close ~\$1.7M, founder ~58%, nothing owed.

BUILT TO BE TRUSTED

Two entities, two jobs

1

CommonBlock

Will be organized as a public benefit corporation (Delaware or Illinois). It sponsors the funds and owns the platform; fund GPs are LLCs it owns.

2

Community Trust

A charitable entity holds residents' 35% claim and credits Wealth tokens. It never contributes capital or absorbs losses.

3

Board and voice

Founder (chair), three independents, a first-loss funder observer seat, and a paid community advisory council.

Related-party terms (property management, fund fees, platform fees) get independent review.

Three kinds of partners

1

Funders

A \$5M first-loss PRI for the South Shore pilot fund; separately, \$2.3M of equity in CommonBlock in three milestone closes.

2

Leaders

Three independent directors: real estate and finance, legal and compliance, community. The leadership model is still being decided.

3

Advisors and counsel

Securities, PRI and private benefit, consumer lending, payments and the card program, the stake lottery, Opportunity Zones, Trust tax.

APPENDIX

Detail for the diligence- minded



Prize-linked saving · fees · charitable purpose · risks · key assumptions

SAVING PAYS, AND THE APP SHOWS IT

A sponsor-funded prize program rewards holding

\$60K

a year from a sponsor

No cost to residents or investors.

Two tracks, 65/35 toward saving

Saving prizes credit Wealth; spending prizes pay
Spend at local shops.

Nobody at zero

Entries for holding, streaks and short money lessons.

With all buildings bought at once, a max drawer gets ~\$2,395 of appreciation versus ~\$2,565 for a saver: ~\$170 goes to interest.

Market-standard, and never charged to residents

Fee	Rate	Paid from
Management	1.5% a year on equity raised	Operating cash flow
Acquisition	1% of purchase price	Year-1 operating cash flow
Construction management	5% of rehab and turn costs	Project budgets
Property management	6% of income + leasing and renewal fees	Normal operating costs
Disposition	1% of sale price	Investors' share at sale
Promote	20% of profit above a 12% return	Investors' share at sale
Card / network	~70% of ~1.2% interchange; 1.25% on in-app Spend	Merchants
Launch costs	At cost, no margin	Operating cash flow over 2 years

Why the PRIs qualify, and where the real test is

1

The rules fit

Treas. Reg. §53.4944-3(b) lists below-market loans to businesses in deteriorated urban areas (Ex. 1, 4, 5) and stock in a for-profit (Ex. 3) as qualifying PRIs.

2

The real test

Private benefit. The PRI's primary purpose must be charitable, not the founder's wealth.

3

The mitigants

Public-benefit mission lock, below-market capped terms, half the concession to residents, expenditure-responsibility reporting.

Counsel to confirm for the fund first-loss.

What could make the numbers worse

1

Market

Returns: 10.5% at 2% rent growth; 9.4% if exit prices also don't improve; 11.7% / 10.3% at a 9.0% / 7.75% entry yield. If loans cost 1-1.5 points less: 12.7-13.0%.

2

Execution

Buying ~278 homes in two years and managing them is demanding. Card adoption is untested.

3

Regulation

Securities, lending, payments and prize rules could require design changes. Counsel is not yet engaged.

4

Illiquidity

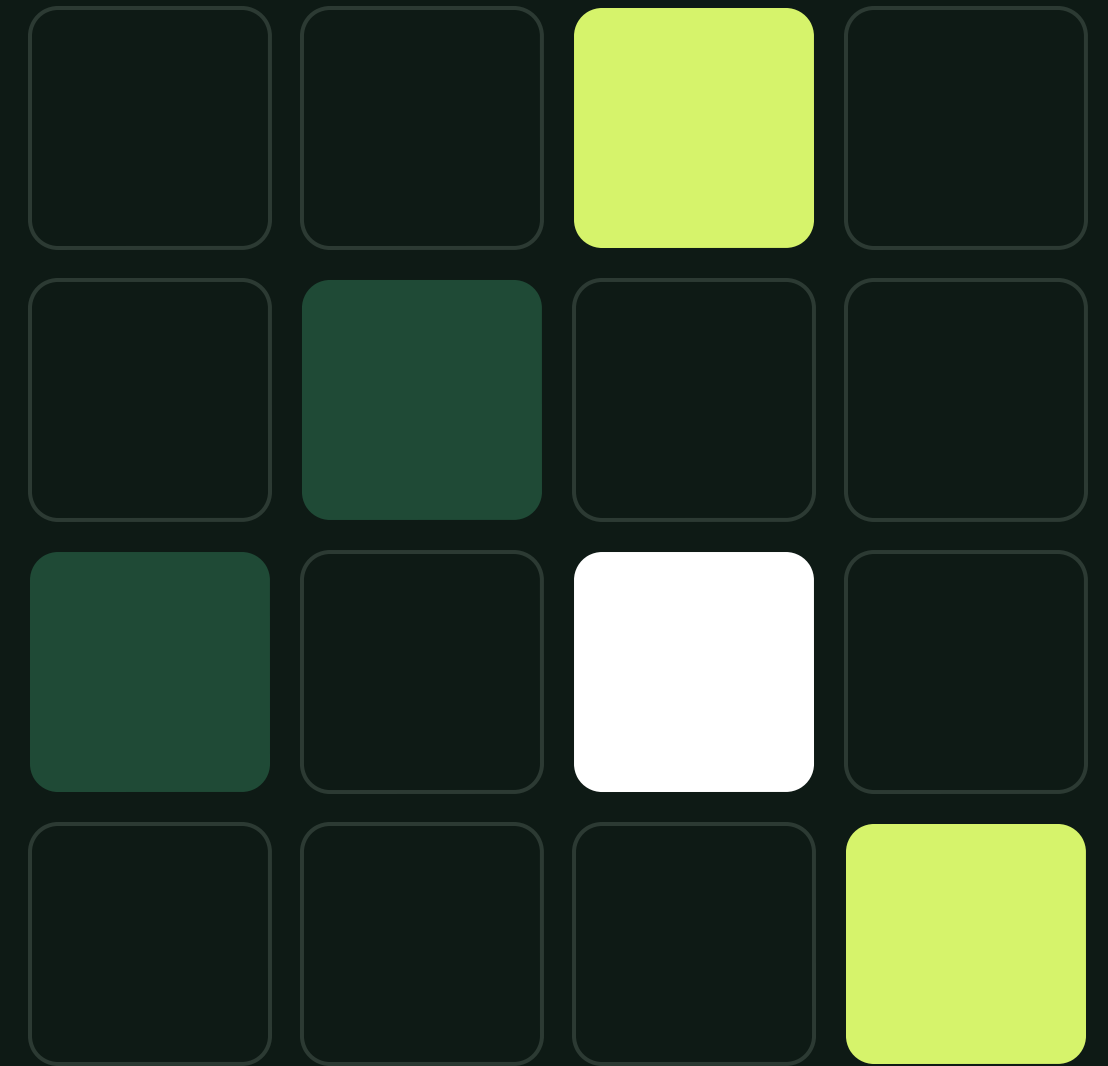
A ten-year hold. Harvest serves residents; investor interests are not freely tradable.

Key assumptions and results

Assumption	Base
Fund equity	\$5M community + \$5M PRI
Hold	Bought over yrs 0-2; sold yr 10
Price / going-in cap	\$60K a door / 9.43%
Exit cap	8.68%
Rent growth	3% a year
Leverage	70% LTC; 65% LTV
Rates	9.0% constr.; 7.5% perm
Resident share	35% of appreciation

Result	Base
Investor IRR / multiple	12.2% / ~2.9x
Deal return (all \$10M)	~10%
PRI return	2.0% capped
Per free stake / stakes	~\$450 a yr / 1,500
Harvest / coverage (all at close)	\$1.05M / 3.0x
DSCR after refi (all at close)	~2.2x
Promote + disposition fee	~\$50K + ~\$290K
Neighborhood dividend	~\$37 per household a yr

Dollars and cents, hearts and minds.



- 1 Fund the South Shore pilot's \$5M first-loss PRI
- 2 Invest in CommonBlock: \$2.3M of equity
- 3 Recruit an independent board; engage counsel